

or shares of a bank on which there is a further liability; but the Court, if an action is pending for the administration of the estate, will not allow such investments to be retained.¹

[*323] * 43. **Trustees where there is power to vary, may sell out stock and invest on mortgage.** — Trustees may be, as they generally are, *expressly* empowered to invest on *real* as well as Government security, and where this is the case, and there is a power to vary securities, the trustees may safely sell out Three per cent. Bank Annuities, and invest the proceeds on a mortgage; for, in this case, although the tenant for life may obtain a higher rate of interest, yet no injury is done to the remainderman, as the capital is a constant quantity, and on the tenant for life's death the remainderman himself will have the benefit. A notion is sometimes entertained that where the stock has become depreciated since the original purchase of it by the trustees, the trustees cannot sell out the stock and lend the money on mortgage without being answerable for the difference between the bought and the sale price. But there is no ground for this apprehension, for if the trust authorise the purchase of stock at all, the trustees cannot be wrong in dealing with it at the market price of the day. No doubt if there were a sudden fall under peculiar circumstances, the trustees should not, without good reason, sell out at the very moment of casual depreciation, but if the power be *bonâ fide* exercised, the mere fact of a depreciation below the bought price cannot *per se* constitute a breach of duty.

44. Appointment in respect of dividends upon a change of investment. — The trustees in changing the investment should have regard to the *tenant for life's interest* in the *income*. The stock, for instance, should be sold so as to make the time of accruer of the last dividend the starting point as nearly as possible for the commencement of the interest on the mortgage. However, if the sale of the stock be made on an intermediate day between two dividends, although the price may be enhanced by the near approach of

¹ *Re Brown*, 52 L. T. N. S. 853; 29 Ch. D. 889.